

Unit - ~~10~~ IV

Financing & Accounting ÷ Need & source of finance

⇒ Financing means arranging funds (money) for starting & running a business.

- In simple, Getting money for business.

⇒ Accounting means recording, tracking & managing financial transactions of a business.

- In simple, Keeping records of money (income & expenses).

Need of financing

- Finance is very imp for every business.

① To start a business:

- Required to buy land, machinery, & raw materials.

② To run day to day Activities:

- Pay, Salaries, rent & electricity bills.

- ③ for business expansion :-
→ grow & increase production.
- ④ to purchase Assets :-
- Machinery, equipment & vehicles.
- ⑤ to face emergencies :-
- Helps in handling losses (or) unexpected situations.
- ⑥ for research & development :-
→ improve products & innovation.

Sources of finance :-

- Sources of finance are classified into two main types :-

(A) Internal sources :- (Inside the business)

(i) personal savings :-

- Owner's own money.

(ii) Retained earnings :-

- profit kept in business for future use.

(iii) Sales of Assets :-

- selling unused assets to generate funds.

(B) External Sources (outside the business) :-

(i) Bank Loans :-

- Loans from banks with interest.

(ii) Financial institutions :-

- Govt (or) private institutions providing funds.

(iii) Share capital :-

- Raising money by selling shares.

(iv) Venture Capital :-

- Investment from investors for startups.

(v) Govt schemes :-

- subsidies, grants & support programs.

(vi) Trade credit :-

- Buying goods now, paying later.

Importance of Accounting :-

- ① Helps in tracking income & expenses
- ② Assists in decision making.
- ③ Maintains financial records
- ④ Helps in profit calculation
- ⑤ Useful for tax purposes.

Term loans :

⇒ It is a loan taken from a bank (or) financial institution for a fixed period of time, which is repaid in installments (EMIs).

- In simple, borrow money & repay with interest.

features of term loans :

① fixed time period :

- loan is given for a specific duration

② Repayment in installments :

- paid back in monthly / quarterly installments.

③ Interest rate :

- fixed (or) variable interest.

④ Large amount :

- used for major investments.

⑤ security :

- usually requires assets as security.

Types of term Loans :

① Short term Loans :

- The period is up to 1 year.

- It is used for working capital.

② Medium - terms loans;

- The period is 1 to 5 years
- It is used for machinery, equipment.

③ Long term Loans;

- The period is more than 5 years.
- It is used for land, buildings, & large project

Advantages;

- Easy to plan repayment.
- Helps in business expansion.
- Suitable for long term investment.

Disadvantages

- Interest burden
- Risk in business fails.

Uses of term Loans;

- purchase of machinery
- Construction of buildings
- expansion of business
- ⇒ Buying equipment.

Capital Structures :-

- It refers to mix of different sources of funds used by a business.

- In simple,

⇒ Combination of debt (loans) & equity (owner's money)

Components :-

① Equity Capital :-

- owner's funds (Shares)

- No repayment required.

- It is owner's money

② Debt Capital :-

- Loans & debentures

- Must be repaid with interest.

- It is borrowed money.

③ Preference share Capital :-

- It is special type of shares with fixed dividend.

- It is hybrid (blw debt & equity).

Types of Capital Structures:

① Simple Capital Structure:

- In this only equity (or) only debt.

② Complex Capital Structure:

- combination of equity, debt, & preference shares.

Factors Affecting Capital Structure:

- Cost of capital
- Risk factor (more debt = more risk).
- Business stability.
- Market conditions.

Importance:

- Helps in financial planning
- Balances risk & return.
- Ensures business stability
- Helps in raising funds.

Ideal Capital Structure:

- An Ideal capital structure is one that:

- minimizes cost
- maximizes profit
- maintains balance b/w risk & return.

Advantages:

- Reduces financial risk.
- Improves company value,
- Ensures smooth operations.

Financial Institutions:

- These are the organizations that provide financial services like loans, credit & investment support to businesses.

Types:

① Banking Institutions:

→ provides loans, deposits & other banking services.

Ex: RBI, SBI.

② Development financial Institutions (DFIs)

- provide long term finance for industries.

Ex: Industrial Development Bank of India.

③ Non-Banking financial companies (NBFCs)

- provide loans & financial services but are not banks.

Ex: Bajaj finance.

④ Cooperative Institutions:

- provide finance to small businesses & farmers.

Ex: cooperative banks.

⑤ International financial Institutions :-

- provide global financial support.

ex - World Bank.

functions of financial institution :-

- providing loans
- promoting Investment
- Economic Development.

Importance :-

- provides capital for business
- Support small & large industries.
- promotes economic growth.
- Generate employment.
- Encourage entrepreneurship.

Role in Entrepreneurship development :-

- It provides ~~fun~~ startup funding.
- offer training & support.
- Reduces financial barriers.
- Encourages new entrepreneurs.

Management of Working Capital :

- Working capital means the money required for day-to-day operations of a business.
- In simple, money used for daily activities like buying materials, paying salaries.

formula :

$$\text{working capital} = \text{current Assets} - \text{current liabilities}$$

Components of working capital :

- current Assets :
 - Cash
 - Inventory
 - Debtors
- Current Liability :
 - Creditors
 - Short term loans
 - Bills payable.

Types :

① Gross working capital :

→ Total current assets.

② Net working capital :

→ current asset - current liabilities.

→ Working capital management means proper planning & control of current assets & liabilities.

Techniques / methods :-

- ① Cash management :-
 - Maintain enough cash for expenses.
- ② Inventory management :-
 - Avoid overstocking (or) shortage.
- ③ Receivables management :-
 - collect money from customers on time.
- ④ Payable management :-
 - pay suppliers efficiently without delay.

Importance of management of working capital :-

- ensures smooth functioning.
- Improves profitability
- Maintains liquidity.

Problems of poor management of working capital :-

- Shortage of cash
- Delay in payments.
- Loss of business opportunity.

Costing:

- It is the process of calculating the cost of producing a product (or) service.

- In simple, how much money spent to make a product.

Objective of costing :

- To find the total cost of production.

- To control & reduce costs.

- To fix selling price.

- To help in decision making.

- To increase profit.

Elements of Cost :

① Material Cost :

- cost of raw materials

② Labour cost :

- wages paid to workers.

③ Expenses :

- Rent, electricity, transport.

Formula to find cost :

$$\text{Total cost} = \text{Material cost} + \text{Labour cost} + \text{overheads}$$

Types of cost:

① fixed cost:

- Does not change with production
- ex: Rent.

② variable cost:

- changes with production.
- ex: Raw materials.

③ semi variable cost:

- partly fixed & partly variable.

Importance of costing:

- Helps in price fixation.
- Controls unnecessary expenses.
- Improves profit.

Advantages:

- Better cost control
- Increase efficiency
- Helps in decision making

Break Even Analysis

- It is used to find the point value, where total cost = total revenue.

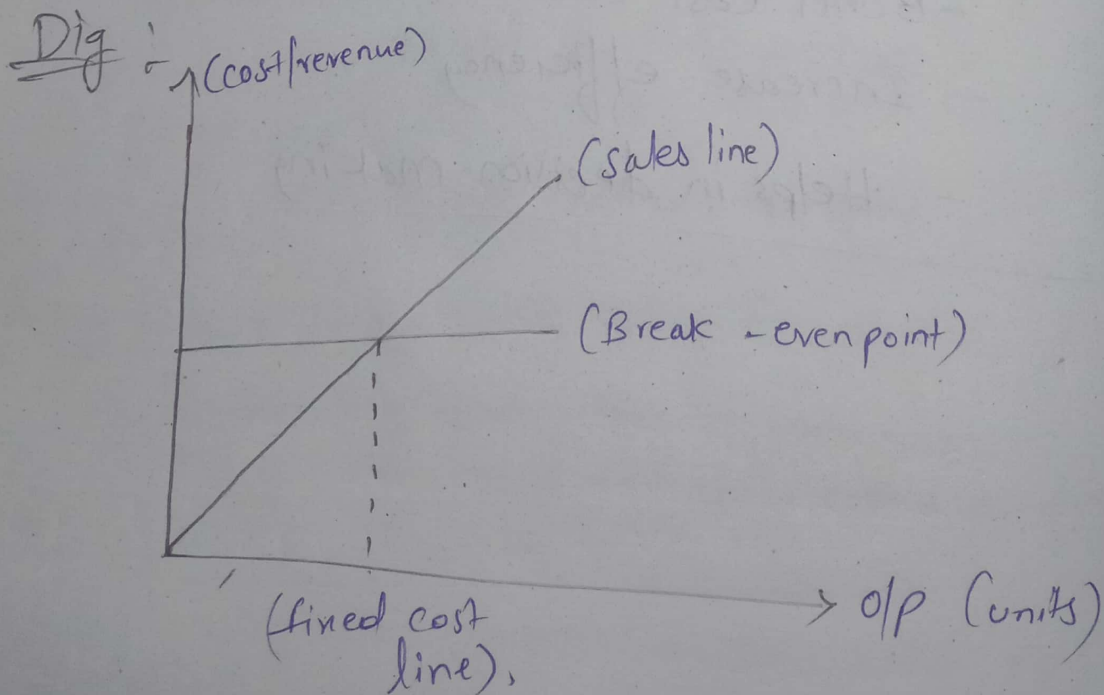
- In simple, No profit, No loss ~~point~~ point.

Formula

$$BEP = \frac{\text{fixed cost}}{\text{selling price per unit} - \text{variable cost per unit}}$$

Components

- ① fixed cost : Rent, salary (constant).
- ② variable cost : Raw materials (Changes)
- ③ Sales Revenue : Income from sales.



- x-axis $\rightarrow$ No. of units (olp).
- y-axis $\rightarrow$ cost & revenue.
- fixed cost line $\rightarrow$ straight horizontal line.
- total cost line $\rightarrow$ starts from fixed cost & goes upwards.
- sales line $\rightarrow$ starts from origin & increases.

$\Rightarrow$ The point where $\boxed{\text{total cost} = \text{sales}}$ is called Break even point.

Importance :

- Helps in profit planning.
- Assists in decision making.
- Helps in cost control.

Advantages :

- simple to understand.
- useful for planning.
- Helps avoid losses.

Limitations :

- Not suitable for complex situations.
- Ignores market changes.

Network Analysis techniques of PERT / CPM

+ Taxation + Income tax +

⇒ New analysis techniques are used for planning, scheduling & controlling projects.

- In simple, It helps to complete project on time.

PERT (Program Evaluation & Review ~~Techn~~ technique).

- It is a technique used to analyze time required for each activity in a project.
- It focus on time.

Features :

- used for uncertain projects.
- Time is estimated in 3 ways:
 - optimistic time
 - most likely time
 - pessimistic time.

Advantages :

- Helps in planning large projects.
- useful when time is uncertain.

CPM (Critical path Method)

- It is used to find longest path (critical path)

in a project.

- It focuses on time & cost.

features :

- time is fixed & known

- Identifies critical activities.

- used for certain projects.

Taxation :

- It is the sys where the govt collect money (tax) from individuals & businesses.

Objectives :

- Generates govt revenue.

- Reduce income inequality.

- Control inflation

- promotes economic development.

types of taxes :

① Direct tax : - paid directly by the person
ex: Income tax.

② Indirect tax : - collected through goods/services
Ex: GST.

Importance of taxation :

- used in funds public services (roads, education)
- Helps ^{economic} growth
- Maintains stability.

Income Tax :

- It is ~~directly paid~~ direct tax paid on income earned by individuals (or) businesses.

features :

- paid annually
- Based on income level.
- Higher income = higher tax.

Sources of Income ^(for tax)

- salary
- Business income
- House property
- Capital gains
- other source.

Importance :

- Maintains source of ~~income~~ govt revenue.
- Reduces economic inequality

Excise Duty + Sales Tax

⇒ Excise duty is a tax imposed on the manufacture (or) production of goods within a country.

features

- Levied on manufacturing of goods.
- paid by manufacturer.
- It is an indirect tax.
- Include in the price of products.

Ex:

- Tax on cigarettes
- " " alcohol
- " " manufactured goods.

Importance

- ~~is~~ major source of govt revenue.
- controls production of harmful goods.
- Helps in economic development.

Sales Tax

- This is a tax imposed on the sales of goods.
- It is an indirect tax, charged by govt.

Types : ① Intra-state sales tax

- Sales within the same state.

② Inter-State Sales Tax

- sales b/w different states

features :-

- paid by consumer
- collected by seller.
- It is an indirect tax
- Based on sales of goods.

Importance :-

- Generates revenue for govt.
- Helps regulate trade.
- Supports economic growth.

Difference

Excise Duty	Sales tax
- charged by on production	- Charged on sales.
- paid by manufacturer	- paid by consumer
- Levied before sale	- Levied at the time of sale
- Based on manufacturing.	- Based on transaction.